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STOCKS

Netflix Fans Ignore Worrying Plot Twists

Netflix's meteoric stock rise has hit the skids in the past several months, which appears warranted before Monday's earnings report

By Steven Russolillo

Updated April 18, 2016 at 5:00 pm ET



Netflix reports quarterly earnings Monday. ASSOCIATED PRESS

Slowing growth, rising costs and increasing competition: That is usually a recipe for trouble on Wall Street.

Then there is Netflix Inc.

The video-streaming service's meteoric stock rise has defied logic, thanks to its growing popularity and original programming. That has overshadowed the steep rise in the cost of doing business and slowing U.S. subscriber growth. More channels are going direct-to-consumer through the Internet and rivals such as Hulu and

Amazon.com's Prime Video are ramping up spending on originals of their own.

Netflix's stock has surged more than 300% in three years, repeatedly proving naysayers wrong on the ride higher. But with shares waffling in volatile fashion in recent months, doubts about the rally's sustainability continue to grow. Ahead of Monday's earnings report, the skepticism might be warranted.

Analysts expect earnings of 3 cents a share, down from 5 cents a year earlier. Revenue is estimated to have increased 25% to \$1.97 billion. Over the past five years, Netflix has consistently exceeded expectations, yet shares have moved up or down by at least 10% following more than half of those reports.

Much of the attention is now focused on Netflix's overseas opportunities. In January, Netflix said it had expanded to an additional 130 countries, tripling its global reach.

Still, investors shouldn't lose sight of Netflix's slowing domestic subscriber growth. Netflix expects a net 1.75 million new U.S. subscribers in the first quarter, lower than the 2.28 million added a year earlier. And as its latest price increase takes shape, analysts project higher churn rates, particularly as grandfathered pricing comes to an end. Slower growth and higher U.S. churn matter as domestic subscribers may remain more profitable than international ones.

Meanwhile, streaming content obligations hit \$10.9 billion in the fourth quarter, the third consecutive quarter these costs exceeded \$10 billion. They were lower by about one-third two years ago. And Netflix's net operating cash flow turned negative last year for the first time since 2000.

Fetching more than 200 times projected earnings for the next 12 months, the stock trades more on faith than fundamentals.

The product is great, but this stock isn't worth bingeing on.

Corrections & Amplifications

Amazon.com's video service is Amazon Prime Video. A previous version of this article misstated the name of the service. (April 18, 2016)

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Appeared in the April 18, 2016, print edition as 'Netflix Fans Ignore Plot Twists'.

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